

IS 4480 **GLOBAL MARKET** **OPPORTUNITY** **ASSESSMENT**



Department of Interdisciplinary Studies



Global Market Opportunity

*“refers to a favorable combination of circumstances,
locations, or timing that offers prospects for
exporting, investing, sourcing, or partnering in
foreign markets”*

IMPORTANCE OF GLOBAL MARKET OPPORTUNITIES

- Diversification
- Potential for growth
- Economies of scale
- Innovation and learning
- Competitive advantage

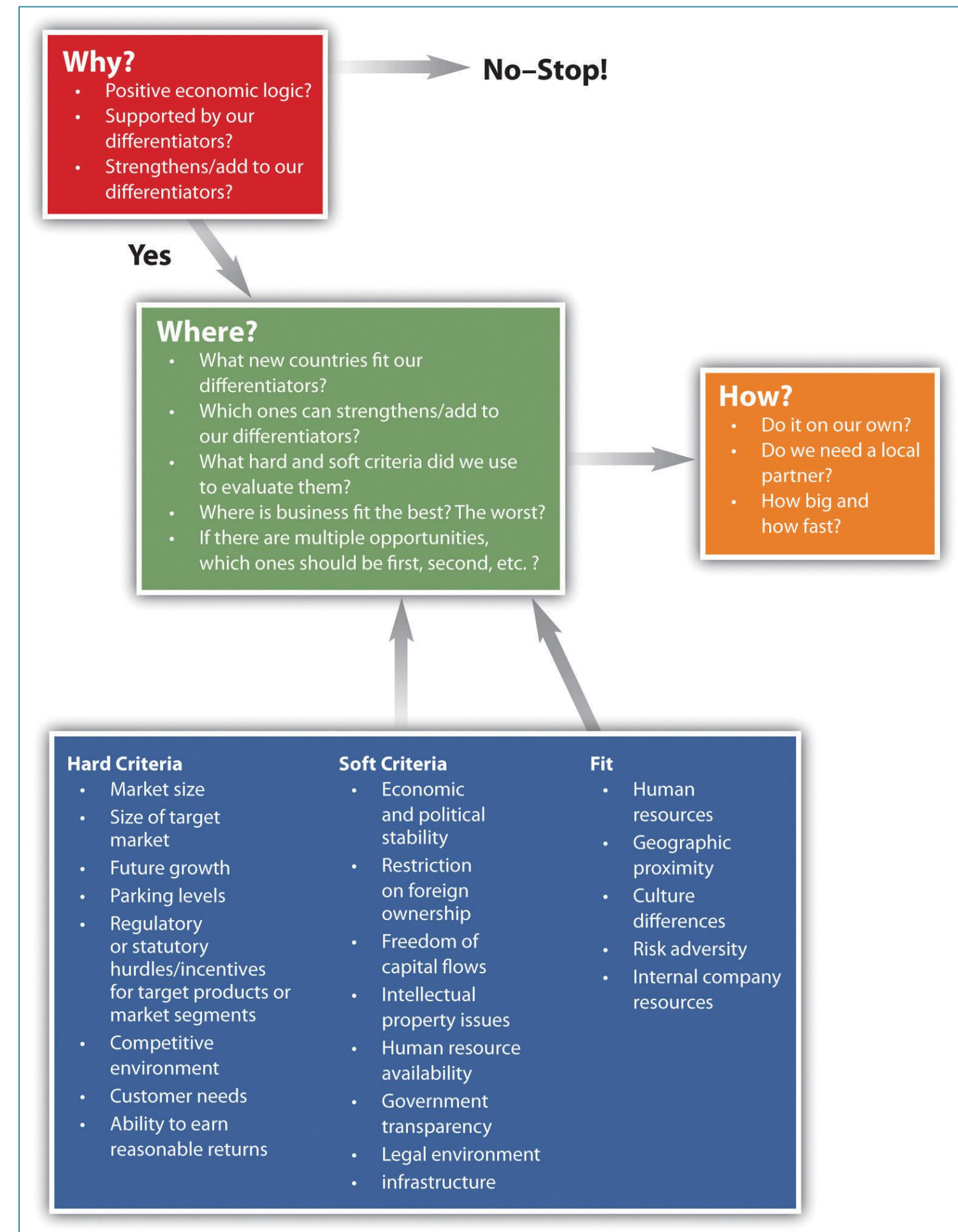




EXPLORING GLOBAL MARKET OPPORTUNITIES

- Understand market dynamics
- Identify target markets
- Leverage technology and ecommerce
- Adapting to cultural differences

The Why, Where, and How of International Expansion?



Source: Dishman, L. (n.d.). International Expansion and Global Market Opportunity Assessment. In *Challenges and Opportunities in International Business*.

RATIONALE FOR INTERNATIONAL EXPANSION

Companies embark on an expansion strategy for one or more of the following reasons:

- To improve the cost-effectiveness of their operations
- To expand into new markets for new customers
- To follow global customers



A person with long dark hair, seen from the back, is sitting at a dark desk. They are looking at a laptop screen that displays a grid of nine lifestyle images, including a handbag, a vase of flowers, a perfume bottle, and a person in a white dress. The person's hand is visible, holding a pen over an open notebook. A smartphone and a tablet are also on the desk. The background is a light-colored wall.

PLANNING FOR INTERNATIONAL EXPANSION



INTERNATIONAL MARKET DUE DILIGENCE



THINGS TO CONSIDER...

- Regional difference
- Understanding local customers
- Learn the needs of a new foreign market
- Differentiation and capability
- Industry dynamics
- Ethics in action



Key Tasks that Managers Should Perform to Define and Pursue Global Market Opportunities



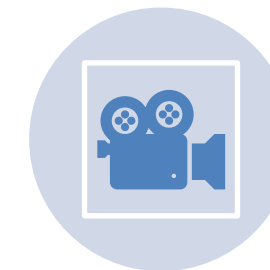
Analyze organizational readiness to internationalize



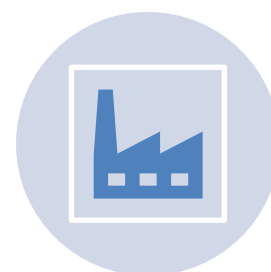
Assess the suitability of the firm's products and services for foreign markets



Screen countries to identify attractive target markets



Assess the industry market potential, or the market demand, for the product(s) or service(s) in selected target markets



Choose qualified business partners, such as distributors or suppliers



Estimate company sales potential for each target market

1. Analyze Organizational Readiness to Internationalize

- When assessing the firm's readiness to internationalize, managers examine their organization to determine the degree to which it has the motivation, resources, and skills necessary to engage in international business successfully.
- In such an assessment, managers measure the firm's:
 - ✓ Degree of international experience
 - ✓ Goals and objectives it envisions for internationalization
 - ✓ Quantity and quality of skills, capabilities, and resources available for internationalization
 - ✓ Actual and potential support the firm's network of relationships provides



1. Analyze Organizational Readiness to Internationalize Ctd.

- If one or more key resources is lacking, management must acquire or develop them before allowing the contemplated venture to go forward.
- Managers also examine conditions in the external business environment by studying opportunities and threats in target markets.
- A formal analysis of organizational readiness to internationalize requires managers to address the following questions:
 - ✓ What do we hope to gain from international business?
 - ✓ Is international expansion consistent with other firm goals now or in the future?
 - ✓ What demands will internationalization place on firm resources, such as management, human resources, and finance as well as production and marketing capacity? How will the firm meet such demands?
 - ✓ What is the basis of the firm's competitive advantage?



2. Assessing the Suitability of Products and Services for Foreign Markets

- One of the simplest ways to find out whether a product or service will sell abroad is to ask intermediaries in the target market about likely local demand for it.
- Products or services with the best international prospects tend to have one or more of the following characteristics:
 - ✓ Sell well in the domestic market
 - ✓ Cater to universal needs
 - ✓ Address a need not well served foreign markets
 - ✓ Address a new or emergent need abroad
- To deepen knowledge about the international market potential of a product or service, managers should obtain answers to the following questions:
 - ✓ Who initiates purchasing?
 - ✓ Who uses the product or service?
 - ✓ Why do people buy the product or service?
 - ✓ Where do people purchase the product or service?
 - ✓ What economic, cultural, geographic, and other factors in the target market may limit sales?



3. Screening Countries to Identify Target Markets

- Screening to identify the best countries is an essential task.
- It is especially important in the early stages of internationalization.
- For most firms, it is also the most time-consuming part of opportunity assessment.
- Failure to choose the right countries not only results in financial loss; it also incurs opportunity costs, tying up resources the firm might have used more profitably elsewhere.
- ***Screening countries for exporting:*** Usually pick countries that are psychically near, similar language, culture, legal environment information necessary for country screening varies by product type or industry.
- ***Screening methodology for potential country markets:***
 - ✓ Gradual Elimination- firms starts with numerous prospective target countries and narrows the choice by examining increasingly specific information.
 - ✓ Indexing and Ranking- firm assigns scores to countries based on their overall market attractiveness. For each country, the researcher identifies a set of market-potential indicators and ranks each country on each indicator.



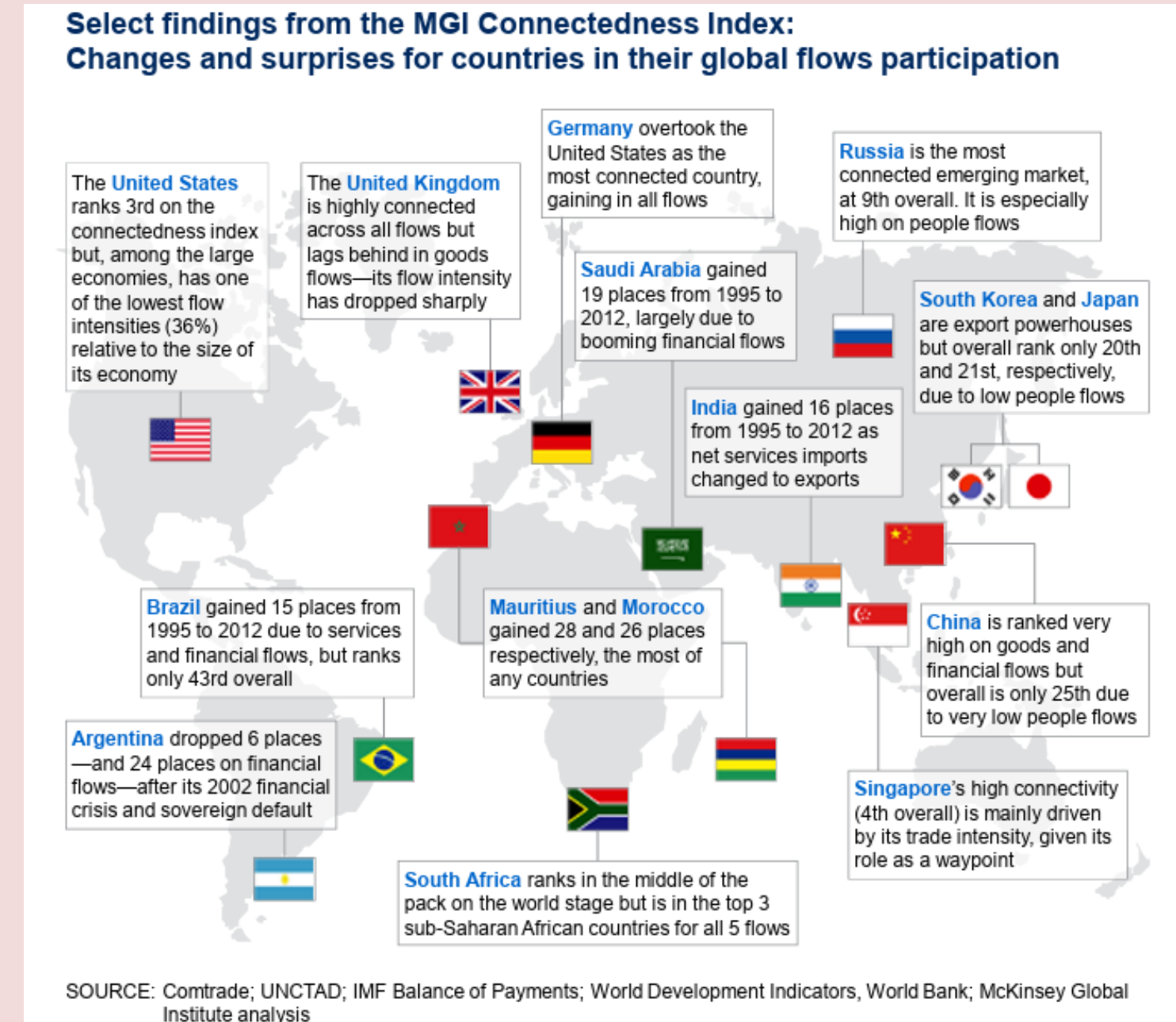
3. Screening Countries to Identify Target Markets Ctd.

- ***Country Screening for foreign direct investment:***
Researchers who attempt to identify the best locations for FDI typically consider these variables:
 - ✓ Long-term prospects for growth return
 - ✓ Country risk
 - ✓ Cost of doing business
 - ✓ Competitive environment
- ***Country screening for manufacturing, competitiveness, and sourcing:***
 - ✓ For reliable suppliers
 - ✓ Good quality, and cheap
 - ✓ Stability of exchange rates



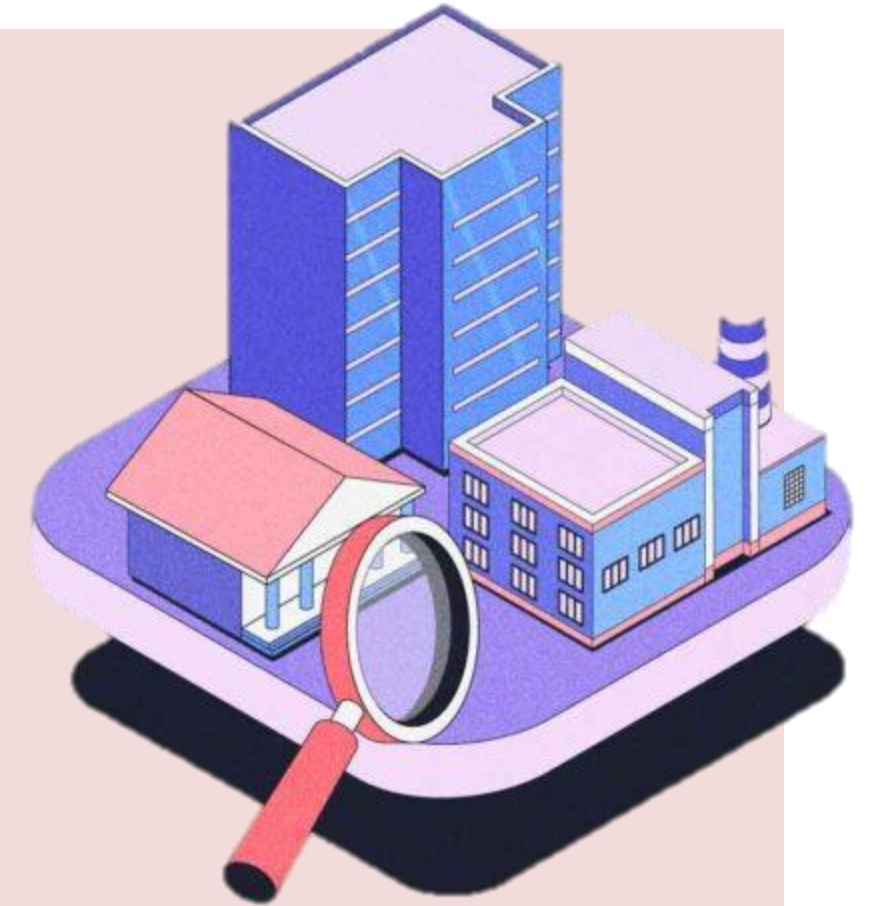
3. Screening Countries to Identify Target Markets Ctd.

- **McKinsey Global Institute's Global (MGI) Connectedness Index** - ranks countries with respect to their inflows and outflows of goods, services, finance, people, and data and communication
- The Global Connectedness Index reveals how digital platforms are changing the economics of doing business internationally.
- Highly connected countries offer opportunities with global scale and provide businesses with a huge base of potential customers and effective ways to reach them.
- Highly connected countries also become platforms for launching born global firms and other start-ups that seek opportunities around the world.

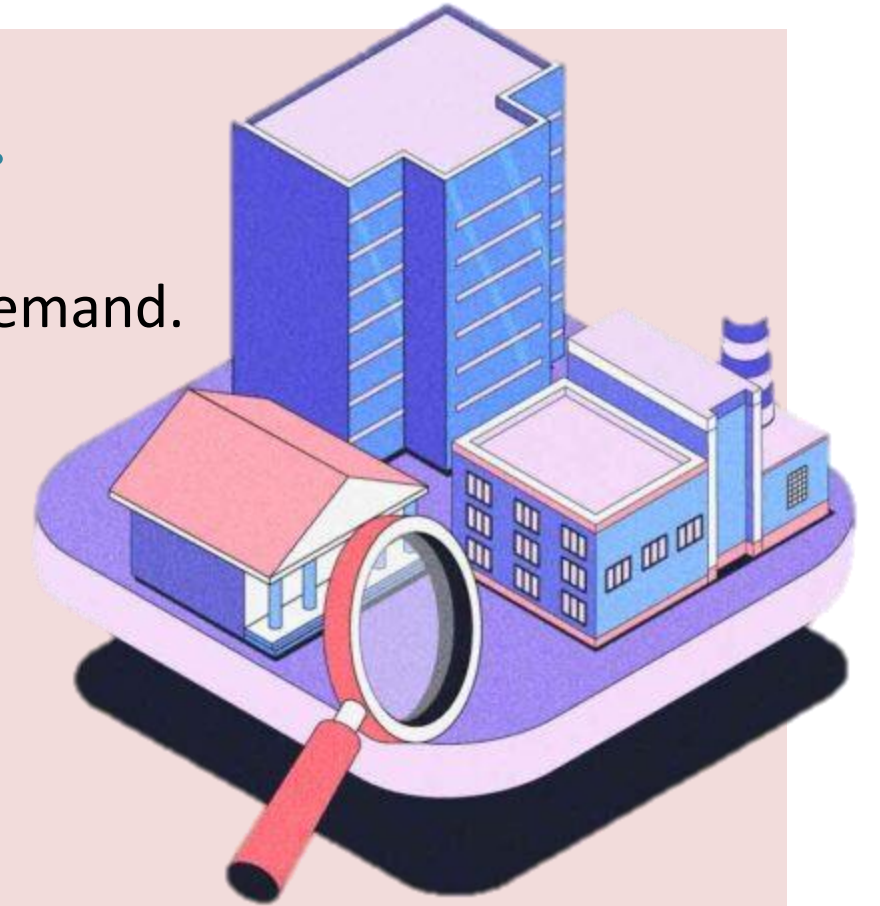


4. Assessing Industry Market Potential

- An estimate of the likely sales for all firms in a specific industry during a particular period.
- Estimating industry market potential enables the researcher to refine the analysis and identify the most attractive countries for the firm's product or service.
- It also provides industry-specific insights and understanding into how the firm needs to adapt its product and marketing approaches.
- To estimate industry market potential, managers obtain data and insights on the following variables for each country:
 - ✓ Size and growth rate of the market and trends in the specific industry
 - ✓ Tariff and nontariff trade barriers to market entry
 - ✓ Standards and regulations that affect the industry
 - ✓ Availability and sophistication of distribution for the firm's offerings in the market
 - ✓ Unique customer requirements and preferences
 - ✓ Industry-specific market potential indicators



4. Assessing Industry Market Potential Ctd.



- Each industry sector has its own industry-specific potential indicators or distinctive drivers of demand.
- Managers use various methods to estimate industry market potential:
 - ✓ Simple trend analysis
 - ✓ Monitoring key industry-specific indicators
 - ✓ Monitoring key competitors
 - ✓ Following key customers around the world
 - ✓ Tapping into supplier networks
 - ✓ Attending international trade fairs
- Evaluates factors that affect the marketing and use of the product, such as consumer characteristics, culture, distribution channels, and business practices.
- Because intellectual property rights vary worldwide, it is important to protect the firm's critical assets by examining regulations, trademark rules, and product liability.
- Should also investigate subsidy and incentive programs from home and foreign governments that reduce the cost of foreign market entry.
- The researcher should bear in mind that the product is likely to be in a different phase of its life cycle in each country.

5. Choose Qualified Business Partners

- For each target country, the manager seeks data that directly or indirectly report levels of industry sales and production and the intensity of exports and imports in the product category of interest.
- Many countries provide useful information for international market research.
- Managers often must be creative in finding and consulting resources that shed light on the task at hand.
- Data and resources in international research are rarely complete or precise.
- Choosing foreign business partners:
 - ✓ Key partners include distribution channel intermediaries, facilitators, suppliers, and collaborative venture partners such as joint venture partners, licensees, and franchisees.
 - ✓ Once the firm has selected a target market, it must identify the types of partners it needs for its foreign market venture, negotiate terms with them, and support and monitor their conduct



6. Estimating Company Sales Potential

- An estimate of the share of annual industry sales that the firm expects to generate in a particular target market.
- Estimating it can be especially challenging because of the need to obtain detailed information from the market and make fundamental assumptions to project the firm's revenues and expenses three to five years into the future
- When estimating company sales potential in a foreign market, managers collect and review various research findings and assess the following:
 - ✓ Intensity of the competitive environment
 - ✓ Pricing and financing of sales
 - ✓ Financial resources
 - ✓ Human resources
 - ✓ Partner capabilities
 - ✓ Access to distribution channels
 - ✓ Market penetration timetable
 - ✓ Risk tolerance of senior managers
 - ✓ Special links, contacts, and capabilities of the firm
 - ✓ Reputation



6. Estimating Company Sales Potential Ctd.

- Estimating company sales typically starts from multiple angles and converges on an ultimate estimate that relies heavily on judgement.
- After combining information about customers, intermediaries, and competition, the researcher decides whether the result points to a reasonable estimate.
- Managers may make multiple estimates based on best-case, worst-case, and most-likely case scenarios.
- They will usually make assumptions about the degree of firm effort, price aggressiveness, possible competitive reactions, degree of intermediary effort, and so on.
- The firm's sales prospects also hinge on factors both controllable by management (such as prices charged to intermediaries and customers) and uncontrollable (such as the intensity of competition).



6. Estimating Company Sales Potential Ctd.

- Practical Approaches to Estimating Company Sales Potential
 - ✓ **Analogy** - the researcher draws on known statistics from one country to gain insights into the same phenomenon for another, similar country.
 - ✓ **Proxy indicators** - the researcher uses known information about one product category to infer potential about another product category, especially if the two are complementary.
 - ✓ A firm contemplating a major market entry by FDI should make its market research especially comprehensive.
- The following activities are especially helpful for estimating company sales potential:
 - ✓ Survey of end users and intermediaries
 - ✓ Trade audits
 - ✓ Competitor assessment
 - ✓ Estimates from local partners
 - ✓ Limited marketing efforts to test



Internal

S

Strengths

Characteristics of a business that give it advantages over its competitors

W

Weaknesses

Characteristics of a business that put it at a disadvantage relative to its competitors

External

O

Opportunities

Elements in a company's external environment that allow it to formulate and implement strategies to improve performance

T

Threats

Elements in the external environment that could endanger the business, its profitability, or its competitive advantage(s)

PORTER'S FIVE FORCES



Threat of new entrants

Ease with which new competitors can enter the market, increasing competition and potentially reducing market share.



Bargaining power of suppliers

Degree to which suppliers can influence the price and quality of materials or services, affecting profitability.



Bargaining power of buyers

Extent to which customers can pressure businesses to lower prices, demand higher quality, or seek better service.



Competitive rivalry

Level of competition among existing firms, determined by the number of competitors, market growth, and product differentiation.



Threat of substitutes

Presence/availability of alternative products or services that can satisfy the same customer needs.

What to analyze?

Entry costs, time to market, customer loyalty, regulatory barriers, intellectual property protection, and industry structure.

Key suppliers, number of alternative suppliers, ease of switching suppliers, and supplier concentration.

Buyer concentration, revenue dependence on key buyers, order sizes, and ease of switching between sellers.

Number of competitors, differentiation, customer switching barriers, and industry growth rate.

Number of substitutes, functional similarity, differentiation, affordability, switching costs, and potential for new substitutes.

POLITICS

- Fiscal Policy
- Government Activity
- Conflicts/Help
- Taxes

P

ECONOMY

- GDP
- Employment Rate
- Exchange Rate
- Inflation
- Income Level

E

SOCIETY

- Demographic Variables
- Cultural Factor
- Religion
- Lifestyle
- Education Level

S



PESTEL ANALYSIS

Analysis Of The Market Influences



T

- Technological Access
- Infrastructure
- Research
- Technology Trends

TECHNOLOGY

E

- Environment Policies
- Recycling
- Consumption Trends
- Production Processes
- Natural Risks

ENVIRONMENT

L

- Wages
- Rights
- Job Security
- Regulations
- Controlled of Marketing

LAW

CAGE Distance Framework

The Four Distances of the CAGE Framework



The Common International-Expansion Entry Modes

- Exporting
- Licensing and Franchising
- Partnering and Strategic Alliance
- Acquisitions
- Joint Ventures
- FDIs





Embracing Global Market Opportunities for Long-Term Growth

- Diversification
- Market research
- Access new markets
- Collaborating with local partners
- Continuously monitor and evaluate

Key Takeaways

- Global market opportunities help businesses grow by expanding into new markets and gaining competitive advantages.
- Companies go international to reduce costs, reach new customers, and follow global clients.
- Before expanding, firms must analyze their readiness motivation, resources, and skills for international business.
- Screen and select target markets carefully using research on market size, growth, risk, and competitiveness.
- Choose reliable local partners and adapt products or services to meet local needs.
- Estimate sales potential and select the best entry mode (exporting, franchising, joint ventures, or FDI) for long-term global success.



THE END

